Case Study: The "QR Code" UPI Scam

Riddhi Garg 25BHI10004

Definition of the Crime:

UPI (Unified Payments Interface) fraud involves deceiving a victim into authorizing a transaction that drains their bank account. Unlike traditional hacking, this is a form of social engineering where the attacker exploits the victim's lack of technical knowledge regarding how UPI "Collect" requests work.

Step-by-Step Execution:

1. The Hook: An attacker finds a victim on a secondary marketplace (like OLX or Facebook Marketplace) or poses as a customer service agent.
2. The Trust Build: The fraudster expresses urgent interest in buying an item the victim is selling. They claim they cannot meet in person and want to pay "instantly" via UPI.
3. The Deception: The attacker sends a QR code or a "Collect Request" via an app like Google Pay or PhonePe. They tell the victim, "Scan this code to *receive* the payment into your account."
4. The Payoff: As soon as the victim scans the code and enters their UPI PIN, they are actually authorizing a debit from their own account rather than a credit.
5. The Exit: Once the money is transferred, the attacker immediately blocks the victim and deletes their profile.

Target Audience:

While anyone can be a target, fraudsters specifically seek out college students and small-scale online sellers who are eager for quick transactions and may not realize that a PIN is **NEVER** required to receive money.

Consequences:

The primary consequence is the immediate financial loss, which is often difficult to reverse because the victim "authorized" the transaction with their PIN. Secondary consequences include emotional distress, a loss of trust in digital banking, and the potential for the victim’s linked mobile number to be flagged in fraudulent chains.

Source Reference:

This scenario is based on frequent advisories issued by the National Payments Corporation of India (NPCI) and the Reserve Bank of India (RBI) regarding "Request Money" scams and fraudulent QR codes.